

The BCG logo is positioned in the top left corner. The background of the entire page is a dark, moody image of a person's silhouette against a green, hexagonal grid pattern, with a thin green line curving across the top right.

BCG

# OUTPROMPT

THE AI STRATEGY CHALLENGE

PROBLEM 3:

## WEALTH MANAGEMENT - CAPTURING THE EMERGING AFFLUENT

ROUND 1 SUBMISSION BRIEF

## The Situation

Meridian Wealth is a wealth-management firm with ~₹8,000 Cr AUM that today serves only UHNI clients (₹5 Cr+) through 40 relationship managers (RMs). That segment is saturated and fiercely contested. Meanwhile, India's emerging affluent - newly liquid startup employees, business owners, and senior professionals with ₹25 lakh–₹2 Cr to invest - is growing fast, but is expensive to serve the traditional RM way.

The prize is large and moving. Wealth in India has grown **~15x since 2004 - the highest of any major market** - and the affluent are climbing the product ladder, with complex products like PMS and AIFs now outgrowing mutual funds. The adjacent emerging-HNW band (₹1–25 Cr) alone holds on the order of **₹50 lakh crore across ~22 lakh individuals**, and is set to keep growing toward 2030.

But here is the opening. The emerging affluent are not unserved so much as *under-served*: already investing, already holding deposits, but often without a professional advice relationship Meridian could own. How they invest, and through whom, varies sharply by sub-group.

## Exhibits

**Exhibit A - Four personas in the affluent base (BCG Survey, N=630, investable wealth ₹50L–25Cr)**

|                       | Persona 1            | Persona 2        | Persona 3             | Persona 4         |
|-----------------------|----------------------|------------------|-----------------------|-------------------|
| Share of base         | ~24%                 | -                | -                     | -                 |
| Avg age (range)       | 38 (30–60)           | 40 (25–65)       | 43 (25–55)            | 40 (25–65)        |
| Avg annual income     | ₹60–70L              | ₹70–100L         | ₹40–50L               | ₹40–50L           |
| Descriptor            | Aspiring High Roller | Smart Risk Taker | Steady Wealth Builder | Disciplined Saver |
| Allocation - Deposits | 16%                  | 20%              | 40%                   | 32%               |
| Allocation - Equity   | 18%                  | 19%              | 14%                   | 17%               |
| Allocation - MFs      | 36%                  | 34%              | 28%                   | 29%               |
| Allocation - Alts     | 3%                   | 2%               | 1%                    | 2%                |
| Allocation - Debt     | 5%                   | 6%               | 9%                    | 4%                |
| Allocation - Physical | 21%                  | 19%              | 8%                    | 17%               |
| Channel - Self        | 28%                  | 55%              | 62%                   | 31%               |
| Channel - Family      | 19%                  | 12%              | 10%                   | 23%               |
| Channel - Bank RM     | 9%                   | 14%              | 15%                   | 19%               |
| Channel - Wealth Mgr  | 7%                   | 3%               | 3%                    | 4%                |
| Channel - MFD         | 37%                  | 16%              | 10%                   | 23%               |

*Note: ~15% of smaller personas (e.g. salaried individuals with generational wealth) are excluded from the target segment. Bank RMs are often tagged to salary accounts but do not actively manage wealth.*

**Exhibit B - How the affluent are served at scale (illustrative operating-model ratios)**

| Tier                 | Clients per RM  | Servicing model                    |
|----------------------|-----------------|------------------------------------|
| Wealth RM            | ~1:200          | Doorstep + dedicated service       |
| Premier RM           | ~1:400          | Mix of in-person and remote        |
| Virtual RM           | ~1:600          | Remote / phone-based               |
| Digital / self-serve | No dedicated RM | Fully self-service digital journey |

### Exhibit C - Where AI can take out work across the wealth value chain (BCG estimates)

| Value-chain step     | Est. work AI can take out |
|----------------------|---------------------------|
| Client acquisition   | 20–25%                    |
| Portfolio management | 25–40%                    |
| Account servicing    | 40–55%                    |
| Onboarding / KYC     | 45–55%                    |
| Mid / back office    | 40–55%                    |

**Exhibit D - A real targeting case.** A bank built a machine-learning model on 8+ data sources - demographics, product holdings, transaction/card data, asset holdings, branch size and location, credit-bureau data, account-aggregator data, and spend patterns by residential location - to identify affluent clients it had missed. The contacted target group showed higher campaign conversion and higher deposit growth than a matched control group.

## The Tension at the Heart of This Case

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The part of the segment where the **need is greatest** - the lower end, ~₹25–50 lakh - is the **least profitable to serve**. The part that is **profitable** - the upper end, ~₹1–2 Cr - is the **most contested**, closest to the UHNI fight Meridian is already in.

## Your Decision

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Recommend where Meridian should play and how it should win with the emerging affluent – or whether it should attempt to win with the emerging affluent at all.

## Data You Can Explore

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Feel free to use public sources as required – however, ensure you cite them properly so we can go back and verify that these numbers are correct.

## What Round 1 Is - and Isn't

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**Working with AI is part of the job.** Modern consulting increasingly expects you to work alongside AI, so that is the skill we are testing here. We are not looking for an answer solved unaided - we want to see how well you direct an AI towards a sharp recommendation, and how well you recognise where it falls short. So please do use AI to develop your response; it is expected, not optional.

**Round 1 is analysis, not a build.** You are not building a working prototype - that is Round 2. Concept sketches, mock-ups, or described experiences are welcome, but the deliverable is your thinking on the page.

Your Round 1 answer is **not binding**. If Round 2 changes your view, change it with no penalty - the two rounds are scored independently.